
ECON 5102 - Economic Decisions and Public Policy

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Fall, 2026

E-mail: TBD
Office Hours: By appointment
Office: Virtual

Course Web: <http://canvas.temple.edu>
Class Hours: Th 6:30 PM - 7:50 PM
Class Room: ZOOM

Description

This course applies basic microeconomic theory to analyze the role of government in the economy. Students learn to evaluate public policies using efficiency and equity frameworks by exploring topics such as externalities, public goods, social insurance, and taxation system design.

Required Materials

- The course will use two textbooks:
 - CORE Economy 1.0 (Available for free at <http://www.core-econ.org/>)
 - Jonathan Gruber's *Public Finance and Public Policy* 7th Edition
- Slides, problem sets, lecture videos, and announcements will be posted on Canvas

Method of Instruction

This is an online course with weekly virtual meetings on Thursdays from 6:30pm to 7:50pm. Students are expected to complete readings, view lecture videos, participate in class discussions, and complete assignments as per the course schedule. It is crucial for students to regularly check Canvas for updates, access course materials, and submit assignments.

Course Structure

Grading Policy

The grade will count the assessments using the following proportions:

- **15%** of your grade will be determined by 5 bi-weekly problem sets
- **25%** of your grade will be determined by a midterm exam
- **30%** of your grade will be determined by a final exam
- **15%** of your grade will be determined by class participation (attendance & participation in sync meetings)
- **15%** of your grade will be determined by an in-class presentation on a policy of your choice

Lectures and Readings

Students are expected to read the assigned textbook chapters and view the recorded lectures on a weekly basis. Additionally, students will be expected to read the assigned policy article in advance of all synchronous class meetings on Thursdays evenings and be prepared for extended discussions.

Synchronous Meetings

Synchronous meetings will begin with a class discussion of the weekly assigned article followed by a recitation period where we work through quantitative problems, clarify concepts from the lectures, and review for exams. Attendance for all synchronous class meetings is mandatory. You are allowed one unexcused absence per semester with no penalty. Each additional absence without documented medical or personal emergency will lower your class participation grade by 1 point (out of 15 total).

Problem Sets

There will be 5 biweekly graded problem sets that will prepare students for the exams. You must turn in all assignments by the dates listed on the course schedule. I will not accept late assignments unless you provide documentation of a medical or personal emergency.

Class Presentation

Students will deliver an individual presentation assessing a specific local, state, or federal policy intervention of their choosing. The presentation must lay out the market failure targeted, map out the theoretical economic mechanism using models from the Gruber text, and critique existing empirical literature on the policy's efficacy. Presentations should be approximately 10 minutes long. Students should be prepared to answer questions from the professor and the audience for approximately 5 minutes after the presentation. Class presentations will take place during weekly synchronous meetings during the second half of the semester.

Exams

There will be two exams. The first exam will be on October 15th, 2026. The second exam will be on December 3rd, 2026. The second exam will not be cumulative. The exams will be administered online through Canvas and will consist of multiple-choice questions, short answer questions, and problem-solving exercises. You will have a set time to complete each exam, and you are expected to work without the use of external resources.

Class Participation

This grade is calculated directly from mandatory attendance and active contribution during weekly synchronous online meetings. Students are expected to arrive having processed the assigned Gruber chapters and discussion article readings, ready to unpack and challenge the methodological frameworks and findings during seminar-style discussions.

Attendance and Your Health

To achieve course learning goals, students must attend and participate in classes, according to your instructors' requirements. However, if you feel unwell or if you are under quarantine or in isolation because you have been exposed to the virus or tested positive for it, you should not come to campus or attend in-person classes or activities. It is the student's responsibility to contact their instructors to create a plan for participation and engagement in the course as soon as they can do so, and to make a plan to complete all assignments in a timely fashion, when illness delays their completion.

Weekly Schedule and Reading List

The schedule is tentative and subject to change.

Week 1 (August 27th): Preferences and Optimization

- **Topics:** Individual choices, income effects, and substitution effects, with applications to labor and consumption
- **Textbook:** CORE Unit 3, Gruber Chapter 2.1.

Week 2 (September 3rd): Firms and Markets

- **Topics:** Market structures, price-setting behavior, demand, and cost functions
- **Textbook:** CORE Unit 7.
- **Discussion Article:** Yannis Bakos, 2001. "The Emerging Landscape for Retail E-Commerce," *Journal of Economic Perspectives*, American Economic Association, vol. 15(1), pages 69-80, Winter.

Week 3 (September 10th): Supply and Demand

- **Topics:** Competitive markets, equilibrium, consumer surplus and producer surplus
- **Textbook:** CORE Unit 8, Gruber Chapter 2.3.
- **Discussion Article:** Glaeser, Edward, and Joseph Gyourko. 2018. "The Economic Implications of Housing Supply." *Journal of Economic Perspectives* 32 (1): 3–30.

Week 4 (September 17th): The Labor Market

- **Topics:** Measuring unemployment, wage-setting, labor market equilibrium, division of output and labor unions, labor market policies
- **Textbook:** CORE Unit 9.
- **Discussion Article:** Scavette, Adam, 2023. "The economic impact of a casino monopoly: Evidence from Atlantic City," *Regional Science and Urban Economics*, Elsevier, vol. 103(C).

Week 5 (September 24th): Externalities

- **Topics:** Private vs. social costs/benefits, private-sector solutions to negative externalities, public-sector remedies for externalities
- **Textbook:** Gruber, Chapter 5.
- **Discussion Article:** Pichler, S., Wen, K. and Ziebarth, N.R. (2021), Positive Health Externalities of Mandating Paid Sick Leave. *Journal of Policy Analysis and Management*, 40: 715-743.

Week 6 (October 1st): Public Goods

- **Topics:** Pure vs. impure public goods, optimal provision of public goods, private vs. public provision of public goods
- **Textbook:** Gruber, Chapter 7.
- **Discussion Article:** Carlino GA, Saiz A. Beautiful city: Leisure amenities and urban growth. *Journal of Regional Science*. 2019; 59: 369–408.

Week 7 (October 8th): Political Economy

- **Topics:** direct democracy, median voter theorem, representative democracy, public choice theory
- **Textbook:** Gruber, Chapter 9.
- **Discussion Article:** Daron Acemoglu & James A. Robinson, 2013. "Economics versus Politics: Pitfalls of Policy Advice," *Journal of Economic Perspectives*, American Economic Association, vol. 27(2), pages 173-192, Spring.

Week 8 (October 15th): Midterm Exam

Week 9 (October 22nd): State and Local Government Expenditures

- **Topics:** Fiscal federalism, Tiebout model, redistribution across communities
- **Textbook:** Gruber, Chapter 10.
- **Discussion Article:** Boustan, Leah Platt, 2013. "Local public goods and the demand for high-income municipalities," *Journal of Urban Economics*, Elsevier, vol. 76(C), pages 71-82.

Week 10 (October 29th): Education

- **Topics:** Rationales for government intervention in education, Peltzman model, educational vouchers, measuring returns to education
- **Textbook:** Gruber, Chapter 11.
- **Discussion Article:** Wolf, P.J., Kisida, B., Gutmann, B., Puma, M., Eissa, N. and Rizzo, L. (2013), School Vouchers and Student Outcomes: Experimental Evidence from Washington, DC. *Journal of Policy Analysis and Management*, 32: 246-270.

Week 11 (November 5th): Social Insurance

- **Topics:** Consumption smoothing, market failures in private insurance, moral hazard, optimal social insurance
- **Textbook:** Gruber, Chapter 12.
- **Discussion Article:** Romer, Christina D., and David H. Romer. 2022. "A Social Insurance Perspective on Pandemic Fiscal Policy: Implications for Unemployment Insurance and Hazard Pay." *Journal of Economic Perspectives* 36 (2): 3–28.

Week 12 (November 12th): Income Inequality and Government Transfer Programs

- **Topics:** U.S. Income distribution stylized facts, transfer policy in the U.S., moral hazard costs of transfer policy, universal basic income
- **Textbook:** Gruber, Chapter 17.
- **Discussion Article:** Emmanuel Saez & Gabriel Zucman, 2020. "The Rise of Income and Wealth Inequality in America: Evidence from Distributional Macroeconomic Accounts," *Journal of Economic Perspectives*, American Economic Association, vol. 34(4), pages 3-26, Fall.

Week 13 (November 19th): Taxation

- **Topics:** types of taxation, individual income tax in U.S., measuring fairness of tax systems, defining income tax base
- **Textbook:** Gruber, Chapter 18.
- **Discussion Article:** Piketty, Thomas, and Emmanuel Saez. 2007. "How Progressive is the U.S. Federal Tax System? A Historical and International Perspective." *Journal of Economic Perspectives* 21 (1): 3–24.

Week 14 (November 26th): NO CLASS – Thanksgiving Break**Week 15 (December 3rd): Final Exam**

University Policies

Video Recording and Sharing Policy

Any recordings of online class sessions can only be used for the student's personal educational use. Students are not permitted to copy, publish, or redistribute audio or video recordings of any portion of the online class session to individuals who are not students in the course or academic program without the express permission of the faculty member and of any students who are recorded. Distribution without permission may be a violation of educational privacy law, known as FERPA as well as certain copyright laws. Any recordings made by the instructor or university of this course are the property of Temple University. Student and Faculty Academic Rights and Responsibilities Policy Freedom to teach and freedom to learn are inseparable facets of academic freedom. The University has a policy on Student and Faculty Academic Rights and Responsibilities (Policy #03.70.02) which can be accessed at policies.temple.edu.

Inclement Weather Policy

Please be advised that while Temple University campuses may close for inclement weather, online courses are not on-campus and therefore are still expected to meet. Your instructor will contact you regarding any adjustments needed in the event of a power outage or severe circumstances. Should you have any questions, please contact the professor.

Academic Honesty

Learning is both an individual and a cooperative undertaking. Asking for and giving help freely in all appropriate setting helps you to learn. You should represent only your own work as your own. Personal integrity is the basis for intellectual and academic integrity. Academic integrity is the basis for academic freedom and the University's position of influence and trust in our society. University and school rules and standards define and prohibit "academic misconduct" by all members of the academic community including students. You are asked and expected to be familiar with these standards and to abide by them. A link to Temple's Policy on Academic Dishonesty can be found at the following link: <https://grad.temple.edu/resources/policies-procedures>

Disability Disclosure Statement

Any student who has a need for accommodations based on the impact of a documented disability or medical condition should contact Disability Resources and Services (DRS) located in the Howard Gittis Student Center South, 4th Floor at drs@temple.edu or 215-204-1280 to request accommodations and learn more about the resources available to you. If you have a DRS accommodation letter to share with me, or you would like to discuss your accommodations, please contact me as soon as practical. I will work with you and with DRS to coordinate reasonable accommodations for all students with documented disabilities. All discussions related to your accommodations will be confidential.

Temple University's Technology Usage Policy

This site includes information on unauthorized access, disclosure of passwords, and sharing of accounts. Temple University's Technology Usage Policy: <https://secretary.temple.edu/sites/secretary/files/policies/04.71.11.pdf>

Student Support Services

The following academic support services are available to students:

Resource	Link
Student Success Center	studentsuccess.temple.edu
University Libraries	library.temple.edu/webpages/remote-learner-support
Undergraduate Research Support	temple.edu/vpus/research/index.html
Career Center	temple.edu/life-at-temple/students/careers-and-internships/career-center
Tuttleman Counseling Services	counseling.temple.edu/access-services
Disability Resources and Services	disabilityresources.temple.edu

If you are experiencing food insecurity or financial struggles, Temple provides resources and support. Notably, the Temple University Cherry Pantry and the Temple University Emergency Student Aid Program are in operation as well as a variety of resources from the Division of Student Affairs.

You are also welcomed to reach out to me directly regarding any issues going on in your life that might affect your class performance. If given enough notice, we can work something out and ensure that you are able to succeed in this course. However, I can't do much if you wait until the end of the semester.